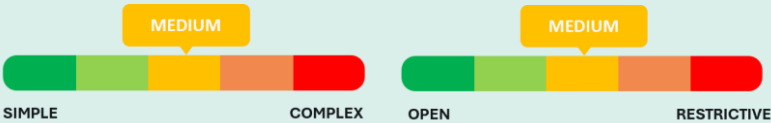




Cayman Islands



Overview: In the Cayman Islands, it is necessary to consider whether cross-border marketing/selling activities will trigger foreign company registration as well as licensing requirements at a *firm* as well as licensing/registration requirements that apply at a *fund level*. It should usually be possible to conduct general marketing activities without triggering these restrictions. For other types of activity, there are potential workable routes as discussed below but these require careful structuring.

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Funds: Active marketing and selling/providing funds as well as responding to reverse enquiries, is possible without triggering restrictions provided the firm is careful as to how it structures its activities. For the firm level requirements, this generally involves avoiding activities that could amount to Carrying on Business and/or establishing a Place of Business in the Cayman Islands. While these tests need to be assessed on a case-by-case basis, various types of activity may be workable, particularly if done on a cross-border basis. For the fund level requirements, the key consideration is to structure activities so that they do not amount to an Offer to the Public. This usually involves restricting activities to only certain types of investor (e.g. Sophisticated Persons and High Net Worth Persons).

Investment Management & Advisory Services (IMAS): The position outlined above in relation to firm level restrictions applies equally to the marketing/provision of IMAS (arranging, execution of orders on behalf of clients, investment advice and portfolio management), whether conducted on an active basis or in response to a reverse enquiry. Such activities may therefore be possible, provided the firm structures its activities carefully.

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The following activities are permitted without triggering registration/licensing requirements:

- distribution of business cards; and
- socialising with prospective investors (provided activities are genuinely limited to socialising only).



The following activities are likely permitted without triggering registration/licensing requirements:

- brand awareness (e.g. use of name, logo, slogan or design scheme);
- providing general information about a firm (e.g. history, business divisions, key persons);
- publishing articles/giving interviews (e.g. thought leadership pieces or macroeconomic analysis/market outlook);
- providing marketing materials which refer to awards/customer testimonials;
- product/service line awareness;
- activities referring to an investment strategy/particular characteristics;
- attending a finance-related event; and
- speaking at a finance-related event.

Advice should be sought from the event organiser as to whether a business visitor's work permit is required when attending or speaking at finance-related events. A work permit is more likely to be required for speakers than attendees.

Care should be taken to ensure that any general marketing activities carried on at fly-in meetings do not constitute Carrying on Business in the Cayman Islands. Work permit/immigration issues should also be considered.

Passive Marketing/Selling (Reverse Enquiry)



Funds and IMAS: Workable depending on how activity structured (and in the case of funds, the investor type)

There are no specific exemptions or exclusions available based on the activity being in response to a reverse enquiry. Responding to a reverse enquiry is therefore permitted without triggering firm level restrictions, provided:

- the activity does not amount to Carrying on Business in the Cayman Islands; and/or
- the firm does not establish a Place of Business in the Cayman Islands.

Where the reverse enquiry relates to a fund, it is also necessary to structure the response so that it does not amount to an Offer to the Public as this would trigger the fund level requirements.

See *Active Marketing/Selling of Funds* below for a fuller description of the regime (including analysis on what activities can be conducted without triggering the tests for Carrying on Business, a Place of Business and an Offer to the Public).



 Workable depending on how activity structured and investor type

There is generally no separate position that applies to pre-marketing. The analysis applicable to *Active Marketing/Selling of Funds* below therefore also applies.

Particular care is required with fly-in meetings, as the risks of triggering the various restrictions are higher, particularly if fly-in meetings are conducted on more than one occasion. Care should be taken.

Active Marketing/Selling of Funds



 Workable depending on how activity structured and investor type

A firm will need to consider requirements that apply at both a firm and a fund level and whether it is possible to structure activities so as to avoid triggering the requirements.

1. Firm Level Requirements

A. Foreign Company Registration Requirement

A firm Carrying on Business or establishing a Place of Business in the Cayman Islands will be required to register as a foreign company and have a registered office in the Cayman Islands. The registered office must be provided by a licensed registered office services provider but does not require a local presence. See section 10 of the Memorandum for further details including on the process, timing and fees entailed with obtaining this form of registration.

It is, however, possible to consider structuring activities so as to avoid these amounting to Carrying on Business and/or establishing a Place of Business in the Cayman Islands. Where activities are so structured, then the Foreign Company Registration Requirement will not be triggered. While these tests need to be assessed on a case-by-case basis, various types of activity may be workable, particularly if done on a cross-border basis.

Carrying on Business: there is no definition of carrying on business as a matter of Cayman Islands law, so what constitutes Carrying on Business is a question of fact to be determined on a case-by-case basis depending on the nature, regularity and continuity of the activities. The term envisages some degree of regularity and continuity. There is no guidance on the level of business activity that would meet the "regularity and continuity" threshold.

Local counsel considers that the following activities would not constitute Carrying on Business:

- remote marketing activities, including:
 - marketing by telephone and email communication;
 - marketing via a website provided that the website is not registered in or maintained by an internet service provider in the Cayman Islands; and
 - physical delivery of materials via the post;
- potentially, marketing activities at a one-off or very occasional fly-in meeting(s) (although it would depend on the circumstances; see *Additional Considerations - Fly-in meetings* below);
- marketing and selling activities at fly-out meetings; and
- provision of products/services so long as:

- the firm does not use a telephone/internet service provider located in the Cayman Islands (for example with a “.ky” suffix) to provide such products/services; and
- contracts are entered into and performed offshore (including any employees who are providing the services being located offshore).

Conversely, it is more likely that fly-in visits (unless very occasional) would constitute Carrying on Business. However, there is a risk spectrum and the targeting of specific potential customers to solicit business (either remotely or in person) could potentially be sufficient to trigger the test, depending on the context. Similarly, if a contract is formed with the recipient of marketing activity and a product/service is subsequently provided from within the Cayman Islands, this is more likely to constitute Carrying on Business. As such, OFIs should ensure that transactions are concluded, and services provided, from outside the Cayman Islands.

Place of Business: A permanent location or deemed permanent location in the Cayman Islands associated with (but not necessarily owned or leased by) the firm.

B. Securities Investment Business Licensing/Registration Requirement

Where a firm (which is not a Cayman Islands entity of any type) markets a fund on a cross-border basis from outside the Cayman Islands without establishing a Place of Business or Carrying on Business in the Cayman Islands, even though the marketing/selling of the fund may fall within the definition of Securities Investment Business, the Foreign Company Registration Requirement will not be triggered and therefore the Securities Investment Business Licensing/Registration Requirement will also not apply.

However, where the Foreign Company Registration Requirement has been triggered and Securities Investment Business is to be conducted, it is necessary to consider this separate licensing/registration requirement.

Securities Investment Business includes dealing, arranging, managing and advising on securities (including interests in a fund) and managing, marketing or acting as depositary of an EU Connected Fund.

Where the restriction is triggered, the firm will either need to apply to:

- hold a licence from CIMA to conduct Securities Investment Business; or
- register with CIMA by making a filing and paying a fee. This route applies where the Securities Investment Business is carried on exclusively for Sophisticated Persons or High Net Worth Persons. Ongoing filing requirements apply. See section 7.1(a) of the Memorandum for further details.

The following exceptions may also apply in connection with the Securities Investment Business/Licensing Registration Requirement, although, in practice, it is unlikely that a firm marketing/selling interests in a fund (or marketing/providing IMAS) will fall within scope of these exceptions:

- **Excluded Activity:** applies where the marketing/selling is in respect of an activity that does not constitute Securities Investment Business.
- **Non-Registrable Person:** applies where the firm is a non-registrable person (including, for example, certain regulated Cayman entities or persons carrying on Securities Investment Business in the course of acting in certain other capacities).

Please see the Executive Summary of the Memorandum for further detail on Excluded Activities and/or Non-Registrable Persons.

2. Fund Level Requirements

When marketing/selling a fund into the Cayman Islands it is also necessary to consider the fund level restrictions. The analysis depends on whether the fund is open-ended or closed-ended. However, provided activities are

structured such that they do not amount to an Offer to the Public, then it is usually possible to avoid triggering the relevant restriction.

Offer to the Public: The term "public in the Cayman Islands" is a statutory term which refers to a relatively limited group of persons. By way of example, local counsel highlight that an offer only to Sophisticated Persons, High Net Worth Persons and/or companies registered under the Companies Act (2026 Revision) would be unlikely to amount to an Offer to the Public. A detailed definition of "public in the Cayman Islands" is set out in section 6.2(c) of the Memorandum.

A. Mutual Funds Licensing/Registration Requirement

This restriction is triggered if activity involves or is deemed to involve offering an open-ended fund to the public in the Cayman Islands. In section 10 of the Memorandum, local counsel advises that advice be sought on a case-by-case basis in relation to a fund that is to be licensed/registered pursuant to this regime.

The following options are available to a firm that does not wish to trigger this restriction:

- Structure activities so that they do not amount to an Offer to the Public (e.g. restrict to Sophisticated Persons or High Net Worth Persons); or
- **Mutual Funds - Licensed Entity Exemption:** applies where the equity interests in the open-ended fund are offered to the public in the Cayman Islands by or through an entity licensed under the SIB Law and such equity interests are listed on a CIMA-approved stock exchange or the fund itself is regulated by a CIMA-approved overseas regulatory authority. In practice, this exemption is very rarely used.

B. Private Funds Registration Requirement

This restriction is triggered if activity involves or is deemed to involve offering a closed-ended fund to the public in the Cayman Islands. In section 10 of the Memorandum, local counsel advises that advice be sought on a case-by-case basis in relation to a fund that is to be licensed/registered pursuant to this regime.

The following options are available to a firm that does not wish to trigger this restriction:

- Structure activities so that they do not amount to an Offer to the Public (e.g. restrict to Sophisticated Persons or High Net Worth Persons); or
- **Private Funds - Licensed Entity Exemption:** applies where the equity interests in a closed-ended fund are offered to the public in the Cayman Islands by or through an entity licensed under the SIB Law and such equity interests are listed on a CIMA-approved stock exchange or the fund itself is regulated by a CIMA-approved overseas regulatory authority. In practice, this exemption is very rarely used.
- See also section 5(a) of the Memorandum for details of further exemptions where the fund is a single investor vehicle or a "non-fund arrangement", such as a joint venture, securitisation vehicle or pension fund.

Active Marketing/Provision of IMAS



Workable depending on how activity structured

Marketing/provision of IMAS may trigger the Foreign Company Registration Requirement and the Securities Investment Business Licensing Requirement, where the activities amount to Carrying on Business and/or establishing a Place of Business in the Cayman Islands. See *Active Marketing/Selling of Funds* above for further details on how to structure activities so as to avoid triggering these tests.

Where a firm (which is not a Cayman Islands entity of any type) markets/provides IMAS on a cross-border basis from outside the Cayman Islands without establishing a Place of Business or Carrying on Business in the Cayman

Islands, even though the marketing/selling of the IMAS may fall within the definition of Securities Investment Business, the Foreign Company Registration Requirement will not be triggered and the Securities Investment Business Licensing Requirement will not apply.

In certain circumstances, the Mutual Funds Licensing Requirement and the Private Funds Registration Requirement may be relevant if the activity undertaken involves or is deemed to involve an Offer to the Public in the Cayman Islands.

The analysis in this section is also applicable to the marketing/provision of IMAS in relation to a single investor vehicle, a segregated managed account or a family office undertaking.

Additional Considerations



Intermediaries

An intermediary is not generally required, although it may be possible to use one if the intermediary complies with local law and regulations. Whether this would avoid the Foreign Company Registration Requirement should be determined on a case-by-case basis, depending on the extent to which the firm may still be deemed to be Carrying on Business in the Cayman Islands.

Note however that the Mutual Funds – Licensed Entity Exemption and the Private Funds – Licensed Entity Exemption each require fund interests to be offered to the public in the Cayman Islands by or through a licensed entity.

Where the local intermediary is being used in connection with IMAS, in some cases, it may be able to conduct marketing activities in relation to services that the firm will provide from outside the Cayman Islands.

Fly-in meetings

Fly-in meetings for marketing and selling/providing a fund or IMAS to investors in the Cayman Islands are likely to constitute Carrying on Business and trigger the various restrictions, unless very occasional. Care is needed. The following non-exhaustive factors should be considered to determine if the fly-in meetings amount to Carrying on Business in the Cayman Islands:

- activities conducted at the meetings;
- length of the meetings;
- if specific potential customers are targeted at the meetings;
- regularity of the meetings; and
- number of people attending the meetings.

Conducting fly-in meetings may also require a firm to obtain a business visitors' work permit for its employee in order to carry on temporary business within the Cayman Islands. Business visitors' work permits are only available to persons who are Carrying on Business in or from within the Cayman Islands (which would exclude a firm that is not registered as a foreign company). Please check with local counsel for further advice.

Definitions of Investor Types



High Net Worth Person: means a person whose individual net worth is at least US\$975,610 or who has total assets of not less than US\$4,878,049 (or equivalent currency)

Sophisticated Person: means a listed or regulated entity or an experienced investor which invests more than USD100,000 per transaction.